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VENTURE CAPITAL

SEC opens the VC door a bit more for retail investors

By [Michael Bodley](#)

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The SEC is intensifying its push to grant retail investors **greater and easier access to private markets**, opening up a largely untouched investor base for VCs.

Firms are still figuring out the SEC's evolving stance on retail investors and whether raising capital from this group is even sensible. One challenge for venture firms: investing in early-stage startups while still providing the level of liquidity that retail investors expect.

In the commission's latest move, chair Paul Atkins recently signaled the SEC would reconsider a longstanding restriction on closed-end funds with retail investors that prevents those funds from having more than 15% of their portfolio in private markets.

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VCs say this change would not move the needle very much. A more consequential step would be amending the SEC's rule over private markets investing by mutual funds and ETFs, said Russell Sacks, a partner at law firm [King & Spalding](#).

LP lines blurring

There's already a strong case for venture capital to be a part of the portfolios of family offices and high-net-worth individuals, according to Michael Paulus, founder of wealth management startup [PCM Encore](#).

But it could also create problems. For one, it could entice venture firms—especially those focused on early-stage investing—to raise more capital than they can deploy effectively, said Paulus.

Private credit, where firms including Blackstone and Apollo have rolled out retail-friendly strategies, and infrastructure funds are better-suited than VC funds to tap substantial retail inflows, he added. That's because **[these strategies can accommodate more capital](#)** than VC.

And he doesn't see any good reason for VCs with a stable group of institutional LPs to bother with retail investors, as they could be of questionable quality.

"You've already got access issues in VC," said Paulus, a former [Andreessen Horowitz](#) partner. "People will fill in if there's consumer demand for it. Folks will fill that. Are they getting the Sequoia or Benchmarks of the world? Or are they getting the equivalent of SPVs and SPACs?"

Still, a handful of firms' managers have always catered to retail investors. Interval funds allow these managers to do this.

[The Cashmere Fund](#), one such firm focused on early-stage investing, has so far handled all of its own marketing through direct-to-consumer channels to retail investors, said CEO and partner Elia Infascelli. Next week, though, the operation is taking on its first outside broker to raise more retail capital.

Down the line, The Cashmere Fund wants to push into private wealth and take on accredited investors. The game plan is one indicator of how marketing lines between institutional and retail for VCs are blurring under evolving SEC guidance.

“How do you give everyone a fair chance in building a portfolio that is diversified and stable and has the best chance of growth?” he said. “The way that regulation in the US is today, it probably has to catch up a little bit, and you’re seeing that a bit with the current administration trying to address that and really allowing retail investors the tools to do that.”

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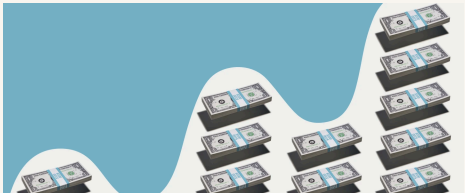
About [Michael Bodley](#)

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com’s crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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